

December 1938 market price. It is also characteristic of such issues that they sell for enormous premiums above the actual capital invested.

The companies analyzed in Group *B* are obviously speculative, because of the great instability of their earnings records. They show varying relationships of market price to average earnings, maximum earnings, and asset values.

The common stocks shown in Group *C* are examples of those which meet specific and quantitative tests of investment quality. These tests include the following:

1. The earnings have been reasonably stable, allowing for the tremendous fluctuations in business conditions during the ten-year period.
2. The average earnings bear a satisfactory ratio to market price.⁴
3. The financial set-up is sufficiently conservative, and the working-capital position is strong.

Although we do not suggest that a common stock bought for investment be *required* to show asset values equal to the price paid, it is none the less characteristic of issues in Group *C* that, as a whole, they will not sell for a huge premium above the companies' actual resources.

Common-stock *investment*, as we envisage it, will confine itself to issues making exhibits of the kind illustrated by Group *C*. But the actual purchase of any such issues must require *also* that the purchaser be satisfied in his own mind that the prospects of the enterprise are at least reasonably favorable.

ALLOWANCES FOR CHANGES IN CAPITALIZATION

In dealing with the past record of earnings, when given on a per-share basis, it is elementary that the figures must be adjusted to reflect any important changes in the capitalization which have taken place during the period. In the simplest case these will involve a change only in the number of shares of common stock due to stock dividends, split-ups, etc. All that is necessary then is to restate the capitalization throughout the period on the basis of the current number of shares. (Such recalculations are made by some of the statistical services but not by others.)

⁴ Note that the *average* earnings of the three companies in Group *C* were nearly two and one-half times as large relative to market price as the *maximum* earnings of the companies in Group *A*.